

you heard them from your brothers, sisters, parents, or grandparents? The reality is that there is no better time than the present to save. So why do we try so hard to avoid something that is so good for us? Could it be that saving has no immediate benefit compared to spending or sharing your money? Spending has an immediate benefit because you can use your purchase. Your new car, new outfit, new bike, and new dishwasher can be driven, worn, or used. Likewise, when you share, the recipient usually shows you their gratitude by their expression or some other form of thank you. Even anonymous contributions can bring joy and satisfaction. But with saving, it’s like watching the grass grow—not very exciting. Your money is sitting somewhere waiting until some future date, which always seems too far away!

Americans seem to have lost their faith in the power of saving. In fact, AARP states that 48 percent of voters think they will have little or no money to retire. These assumptions can be powerful, especially if the sense of hopelessness causes one to reject saving altogether. The difficult but rewarding task is to overcome these mental barriers and believe in the value and necessity of saving. Then you will provide for yourself a secure future that is not reliant on the solvency of Social Security or on whether or not you receive an inheritance.

In this chapter you will learn:

- How to become a millionaire
- The value of compound interest
- Why you need an emergency fund
- The 70-20-10 rule
- The Rule of 72

Let’s start by examining why it is in your best interest to start saving now and not later.

